

How to run an advertising agency

by David Ogilvy
Chairman, Ogilvy & Mather International

Ogilvy & Mather now has offices in seventeen countries. As a guide to the heads of these offices, who are meeting in New York this week, David Ogilvy recently set down his principles of management. Here they are in abbreviated form.

For an unexpurgated version write Ogilvy & Mather, 2 E. 48 St., New York, N.Y. 10017.

I believe in the Scottish proverb: "Hard work never killed a man." Men die of boredom, psychological conflict and disease.

The harder our people work, the happier and healthier they will be.

Make working at Ogilvy & Mather fun. When people aren't having any fun, they seldom produce good advertising. Kill grimness with laughter.

Maintain an atmosphere of informality. Encourage exuberance. Get rid of sad dogs who spread gloom.

Always be honest in your dealings with clients. Tell them what you would do if you were in their shoes.

While you are responsible to our clients for sales results, you are also responsible to consumers for the kind of advertising you bring into their homes. Tell the truth.

No phonies or zeros

Our offices must be headed by the kind of men who command respect. Not phonies or zeros.

Qualifications for the Heads of our offices:

1. High standards of personal ethics.
2. A big man, without pettiness—a formidable individual.
3. Stable, guts under pressure, resilience in adversity, a deep keel.
4. Brilliant brain—not a safe plodder.
5. Commitment—dedicated, a hard worker.
6. A streak of unorthodoxy—the urge to innovate.
7. The courage to face tough decisions, including firing non-performers.
8. Inspiring enthusiast—with infectious gusto.
9. Decisive—speed in grasping nettles.
10. Ability to hire and promote good people.

If you treat your lieutenants as subordinates, they will be less effective in their jobs; they will come to resent their subordination.

Our Top Management in each country

should function like a Round Table, without the overt discipline of a military hierarchy—with its demeaning pecking order.

An egalitarian structure encourages independence, responsibility and loyalty. It reduces dependence on ONE MAN, who is sometimes absent, often fallible and always mortal.

The key to success

The key to success in management lies in this concept of PARTNERSHIP. Partnership between the Heads of our offices and their colleagues at the Round Table. Partnership between our offices in different countries.

Happy partnerships are as difficult to sustain as happy marriages. The challenge can be met if those concerned have clear-cut divisions of responsibility and don't poach on the other fellow's preserves.

"Why beholdest thou the mote that is in thy brother's eye, but considerest not the beam that is in thine own eye?"

Superior service to our clients depends on making the most of the men and women on your staff.

Give them challenging opportunities, recognition for achievement, job enrichment, and responsibility.

Treat them as grown-ups—and they will grow up.

Help them when they are in difficulty. Be affectionate and human, not cold and impersonal.

Give outstanding performers spectacular rewards. Nothing is too good for our make-or-break individuals.

Encourage free communication upward. Senior men have no monopoly on great ideas.

Nor do Creative people. Some of the best ideas come from clients, account executives, researchers and others.

Don't be a hermit

Do not summon people to your office—it frightens them. Instead, go to see them in their offices.

A Chairman who never wanders about his agency becomes a hermit, out of touch with his staff.

Never hire relatives or friends.

Sack incurable politicians.

Crusade against paper warfare. Encourage your people to air their disagreements face-to-face.

Discourage secrecy.

Discourage poaching.

Compose sibling rivalries.

Avoid duplication of function—two

people doing a job which one could do.

Ferment and innovation

Your paramount hiring problem is this: Advertising is one of the most difficult functions in industry, and too few brilliant people want careers in it.

1. Make a conscious effort to avoid recruiting pedestrian hacks.

2. Create an atmosphere of ferment, innovation and freedom. This will attract brilliant recruits.

3. If you ever find a man who is better than you are—hire him. If necessary, pay him more than you pay yourself.

In recruitment and promotion we are fanatical in our hatred for all forms of prejudice. We have no prejudice for or against Roman Catholics, Protestants, Negroes, Aristocracy, Jews, Agnostics or foreigners.

The most important function

The Creative function is the most important. The Heads of our offices should not relegate their key creative people to positions below the salt.

They should pay them, house them and respect them as indispensable Stars.

We also value our good Management Supervisors. They stimulate our service departments to do great work for clients.

Our Management Supervisors are equivalent to the partners in great law firms. They must be stable, courageous, professional and imaginative.

They must work in fruitful partnership with our creative people—neither bullying them nor knuckling under to them.

This is not a job for lazy, frightened mediocrities, nor for superficial "contact" men.

No agency has greater respect for the importance of the research function—particularly in the creative area.

The most valuable quality in a Research Director is his integrity. A dishonest one can do appalling damage.

It is also important that a Research Director be able to work sympathetically with our creative people. And he should be able to use research fast and cheaply.

Disciplines

In all our departments, our top people must instill a healthy discipline. Due dates must be met. The staff must arrive on time. Telephones must be answered politely. Security must be policed.

It is also the duty of our top people to sustain unremitting pressure on the professional standards of their staffs. They

must never tolerate mediocre creative work or sloppy plans.

In our competitive business, it is suicide to settle for second-rate performance.

Fee or commission?

We offer our clients a choice of fee or commission. Fees offer four advantages:

1. The advertiser pays for what he gets—no more, no less.

2. Every fee account pays its own way. Unprofitable accounts do not ride on the coattails of profitable accounts.

3. The agency has an incentive to provide non-commissionable services.

4. Unforeseen cuts in advertising expenditure do not result in temporary personnel layoffs.

Then there is the commission system, and some clients prefer it. Both systems will continue for years to come. We should be open-minded about them.

New accounts

The most difficult decisions are which new accounts to take and which to reject. The primary considerations should be:

1. Does anyone in our Top Management really want the account? We should never take a new account unless at least one of our key men can approach it with tremendous enthusiasm.

2. Do we believe that good advertising can sell the product?

3. Would the marriage be a happy one? Unhappy marriages do not fructify—and they do not last.

4. Has the account potential for growth?

The prime responsibility for new business must lie with the Head of the office. He should not allow his Management Supervisors to spend too much time assisting him in this area; their prime responsibility must always be to our present clients.

Ogilvy & Mather offices

NORTH AMERICA
New York
Los Angeles
(Carson/Roberts)
Houston
Toronto
Montreal

LATIN AMERICA
Bogota
Buenos Aires
Caracas
Mexico City
Rio de Janeiro
São Paulo

EUROPE
Amsterdam
Brussels
Frankfurt
London
Milan
Paris
Vienna

AUSTRALIA
Melbourne
Sydney
NEW ZEALAND
Wellington
Auckland
SOUTH AFRICA
Johannesburg

How to make successful television commercials

by Ogilvy & Mather

Ogilvy & Mather has placed over \$800,000,000 in television advertising. We have created hundreds of successful television campaigns for our clients in the United States and abroad. We have spent \$4,250,000 in research on the results of these campaigns.

Here is part of what we have learned.

PEOPLE don't watch television in order to see your commercial. Only one commercial in fifteen makes any impression at all on the viewer. Yet few packaged goods can survive without television. It is the most effective selling tool ever invented for the introduction of new products.

What follows are some ways you can get the most for the money you put behind television commercials.

Your most important decision. What you say is more important than how you say it. Your most important decision is *how to position your product*.

Should you position Dove as a product for older women with dry skin—or as a product which cannot irritate sensitive skin?

Should you position Shake 'n Bake as a new kind of chicken dinner—or as a better way to make fried chicken?

Make a promise. Once you determine how to position your product, boil your advertising down to a simple promise. Then deliver that promise as if your job depended on it. *Keep it simple.* Most television commercials are too complicated. They try to deliver too many ideas—and end up delivering none.

Beware: If your promise can be construed to be in any way misleading, you run the risk of having to go to court. *Caveat vendor.*

What's the big idea? It takes a big idea to jolt the consumer out of her indifference—to make her notice your commercial, remember it, and take action.

Big ideas are usually *simple* ideas—like the "Crown" campaign for Imperial Margarine, which ran for eleven years.

Be consistent. Too many good campaigns are yanked off the air before they have begun to pay off.

Your brand image should be consistent from year to year. Pepperidge Farm has promised



Music is emotional shorthand. A song on television increased the Hershey Bar's sales 16 percent.



Testimonials helped Dove, Lever's No. 1 beauty bar, score a significant share growth over the last 5 years.



Human interest. A pregnant woman helped Spray 'n Vac become America's leading rug cleaner.



Continuing presenter. The "Wicked Witch of the West" increased market share for Maxwell House.

national advertising, Spray 'n Vac became the best selling brand in its category.

The techniques that work best on television

You must find a way to stand out from the 38,000 commercials the average viewer sees in a year. You will seldom break sales records unless you blaze new trails.

Ogilvy & Mather creative groups attempt to do unconventional commercials for every product they work on.

You would not expect to see a herd of bulls as the visual idea for a stockbroker's commercial. It worked for Merrill Lynch.

The television campaign for Mercedes-Benz is an unconventional automobile campaign. It is remarkably successful.

Here are some techniques that we have found work best, most often, on television. But to stand out they must be executed in an unconventional manner.

Demonstrations. Television permits you to demonstrate your product's benefits. Your words are important, but not as important as your pictures. Let your product do the talking.

Testimonials. In an era when people are growing more skeptical of commercials, testimonials by genuine, satisfied customers can be one of your most effective selling tools.

Ogilvy & Mather's testimonial commercials for the American Express Card helped increase Cardmembers forty percent faster than projections in three months.

The continuing presenter. Campaigns built around a "continuing presenter"—a character who appears in every commercial and becomes associated with your brand—often work for years.

Ogilvy & Mather has created a number of these remarkably effective sales people. Pete the Butcher sells Shake 'n Bake. Marion the Librarian endorses Ex-Lax. Cora sells Maxwell House Coffee in her General Store. And sales have never been better.

The trick is to find somebody with an appropriate personality—and enough authority to speak for your product.

But make sure that your product isn't overpowered by the personality of your presenter.

You are asking people to buy your *product*, not your spokesman.

The celebrity presenter. People love to look at celebrities. Two years ago Ogilvy & Mather asked Joe DiMaggio to become the spokesman for The Bowery Savings Bank, the largest savings bank in New York.

DiMaggio is a New York hero. Awareness of The Bowery's advertising jumped 50 percent in eight months.

Before you use a famous person, be sure that he or she *likes* your product. If your presenter is not convinced, the camera will show it.

"Slice of Life." The "Slice of Life" works because it is based on the simplest form of teaching: the dialogue.

Questions from a Doubter are countered by persuasive answers from a Believer. Eventually, through dialogue, the Doubter is converted. This method of teaching worked for Plato. When handled skillfully, it can sell millions upon millions of dollars' worth of products today.

Hint: Unless there is conflict between Doubter and Persuader, your "Slice" will fail. Dramatic conflict has been effective since Euripides. It works today for Lever Brothers' *Aim*, the most successful toothpaste introduction of the '70's.

Music. Music is emotional shorthand. A quick way to put the viewer into the mood.

People remember lyrics more easily than spoken words. But the words of your song must deliver a *strong selling idea*.

If you have a single major promise, a song can help you deliver it. But we have found that it has a tendency to blur *secondary* copy points.

Production: how to get the most for your money

In the past ten years the cost of *producing* commercials has gone up 30 percent more than the cost of *placing* them.

So make sure that the commercial that you are producing is the right one. If you are testing several commercials, use the cheapest production technique consistent with giving each commercial a fair chance.

Once you have found the right commercial, don't rush pell-mell into production. Have your agency's producers estimate a price for the com-

mercial. Then ask production houses to bid against that price. Compare the bids.

Some techniques are *always* expensive. If you use them, use them to full advantage.

When an animated character appears in a live-action situation, it costs plenty.

Hidden camera techniques are expensive. You may expose over 12,000 feet of film to use only 45 feet for a 30-second commercial.

Too many identifiable people in a commercial can cost you as much in residual payments as you spend on air time.

How to test your commercials

Good research can help you decide if you have a good commercial. Ogilvy & Mather has developed a research technique for measuring *when* attention drops, and *why*. We have another for measuring *communication* and *persuasiveness* in the same test.

Another technique measures campaign buildup or wear-out. This technique, the first of its kind, uses cable TV to measure *campaigns* rather than individual commercials. Your campaign is not a single exposure, so why should your research be based on a single exposure?

Research can help you find the answer. But it is not, in itself, the answer. Copywriters should keep their eye on *sales*, not on research scores.

The commercial is only as good as the product

The most powerful element of the commercial is the *product it sells*. People buy products, not television commercials.

In many successful campaigns the product sells itself. The agency simply presents it.



Mercedes-Benz

Do something different. Conventional advertising will produce conventional sales.

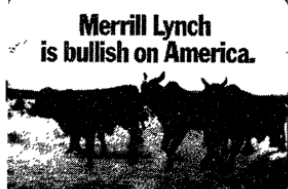
On the other hand, even the best commercial cannot sell a bad product beyond a first trial.

If you have a good product, follow the guidelines on this page. Chances are, your advertising will be as good as your product.

Is there more?

Ogilvy & Mather has specialized information for many product categories. It is for the education of our art directors, producers, and copywriters. And for the benefit of clients. However, much of this information is summarized in our booklet, *How To Create Advertising That Sells*. We'll be glad to send it to you, at one dollar a copy. Send your check to: Ms. Kilgour, Ogilvy & Mather, 2 East 48th Street, New York, N.Y. 10017.

**Ogilvy
&
Mather**



Merrill Lynch is bullish on America. Unconventional visual idea. After just six weeks this campaign had increased awareness 65 percent.

old-fashioned goodness for fifteen years. Commercials for Nationwide Insurance have projected a consistent image for five years; awareness has *quintupled*.

Have a heart. You are advertising to human beings. They cannot be bludgeoned into buying your product. A commercial that is warm and human is more likely to succeed than one which is cold and impersonal.

Ogilvy & Mather's introductory campaign for Spray 'n Vac rug cleaner delivered a strong promise in a human way. After six months of

How to Run an Ad Agency Ad by David Ogilvy
(<https://swiped.co/how-to-run-an-ad-agency-ad-by-david-ogilvy>)
Swiped in March 2014